

# How target-date funds may help keep your 401(k) strategy on track

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## How target-date funds may help keep your 401(k) strategy on track

In today's climate of constant headline risk and market uncertainty, retirement plan advisors face a critical challenge: helping participants stay the course with their 401(k) investments. Putnam Retirement Advantage Target Date Series by Franklin Templeton offers a compelling idea—one that blends disciplined portfolio management, behavioral finance insights and a long-term investment philosophy.

### Why long-term perspective matters

As Franklin Templeton Investment Solutions explains, the key to successful retirement investing lies in managing the right risk at the right time. The Retirement Advantage glide path is designed to be more aggressive early—maximizing growth when time is on your side—and more conservative as retirement nears, prioritizing risk management when account balances are largest and recovery time is shortest.

This disciplined approach helps participants avoid knee-jerk reactions to market headlines and stay focused on long-term goals.

### Managing risk with glide path design

Source: Industry Average source: Morningstar. As of December 31, 2024.

### Managing volatility with target-date funds

Market volatility is inevitable, but it doesn't have to derail retirement plans. The Retirement Advantage strategy features:

Glide path as a volatility buffer: Reduces equity exposure as retirement approaches, mitigating sequence-of-returns risk.

Tactical asset allocation: Allows the investment team to make strategic shifts within defined bands to seize opportunities or reduce risk.

Global diversification: Portfolios span US and international equities, investment-grade and high-yield bonds and cash.

### Overcoming behavioral biases

Behavioral finance research informs both the glide path and participant communications. By automating the shift from growth to preservation, Retirement Advantage helps guide investors from making emotional allocation changes at the worst times.

Franklin Templeton also provides educational materials and digital tools to reinforce the importance of staying the course and avoiding market timing. The result? Historically strong long-term outcomes and high participant success rates.

### Advisor action steps

As an advisor, guiding plan sponsors to a glide path that fits their workforce is essential. Glide path fit isn't optional—it's foundational.

Explore the TargetDateVisualizer (for financial professionals only) to compare over 100 glide paths in the Morningstar Target Date Landscape. This tool helps differentiate strategies and uncover the best fit for your clients.

For deeper insights, connect with your Franklin Templeton Retirement Plan Specialist.

### Final thought

Retirement Advantage isn't just a fund—it's a philosophy. One that helps participants stay invested, stay informed and stay on track.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Principal invested is not guaranteed at any time, including at or after a fund's retirement target-date; nor is there any guarantee that the fund will provide sufficient income at or through the investor's investments. Underlying funds are subject to the same risks as, and indirectly bear the fees and expenses of, the underlying funds. The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce the desired results. The investment style may become out of favor, which may have a negative impact on performance. Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks. Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default. Asset-backed, mortgage-backed or mortgage-related securities are subject to prepayment and extension risks. International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Real estate investment trusts (REITs) are closely linked to the performance of the real estate markets. REITs are subject to illiquidity, credit and interest rate risks, and risks associated with small- and mid-cap investments. Convertible securities are subject to the risks of stocks when the underlying stock price is high relative to the conversion price and debt securities when the underlying stock price is low relative to the conversion price. Active management does not ensure gains or protect against market declines. These and other risks are discussed in the fund's prospectus.

Diversification does not guarantee a profit or ensure against loss. It is possible to lose money in a diversified portfolio.

Each Retirement Advantage Fund has a different target date indicating when the fund's investors expect to retire and begin withdrawing assets from their account, typically at retirement. The dates range from 2025 to 2065 in five-year intervals, with the exception of the Maturity Fund, which is designed for investors at or near retirement. The funds are generally weighted more heavily toward more aggressive, higher-risk investments when the target date of the fund is far off, and more conservative, lower-risk investments when the target date of the fund is near. This means that both the risk of your investment and your potential return are reduced as the target date of the particular fund approaches, although there can be no assurance that any one fund will have less risk or more reward than any other fund. The principal value of the funds is not guaranteed at any time, including the target date.

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